NPTEL — Performance and Reward Management

Practice MCQ Question Bank

150 Most Probable Questions — Weeks 0 to 12

Answer Key included at the end

Week	Topic	Questions
Week 0	Introduction to PM & Rewards	12
Week 1	PM Process & Reward Basics	12
Week 2	Strategic Alignment & SWOT	12
Week 3	Performance Measurement Approaches	12
Week 4	Appraisal Methods & Errors	12
Week 5	Development, Teams & Coaching	12
Week 6	Total Rewards & Fairness	12
Week 7	Incentive Theories & Pay Plans	12
Week 8	Job Evaluation & Pay Structures	12
Week 9	Executive Pay & Incentive Design	12
Week 10	Government Pay & Pension	12
Week 11	Reward System Design	12
Week 12	Ethics in PM & Rewards	12
	Total	**156**

WEEK 0 — INTRODUCTION TO PM & REWARDS

Q1.

Performance management aligns individual goals primarily with the _____ of an organization.

A. Personal development goals
B. Strategic goals
C. Team KPIs
D. HR department targets

Q2.

Which of the following statements about performance management frequency is TRUE?

A. It occurs once a year
B. It is a continuous, year-round process
C. It happens only at appraisal time
D. It is conducted once every two years

Q3.

The system of performance management is owned by _____, while performance appraisal is owned by _____.

A. HR Department, Line Managers
B. Line Managers, HR Department
C. CEO, HR Department
D. Line Managers, Development Managers

Q4.

Which of the following is a MISQUOTED objective of Performance Management?

A. Managing and improving performance
B. Motivating and rewarding but NOT empowering employees
C. Ensuring employees do the right things rightly
D. Judicious use of resources

Q5.

An organization's strategic plan mainly comprises its _____, which are translated into goals and objectives.

A. Vision and mission statements
B. Philosophy of survival
C. Plan of action
D. Financial projections

Q6.

In modern organizations, rewards can ONLY be monetary. This statement is:

A. True
B. False
C. True only for private sector
D. True only for government employees

Q7.

Rating an employee based on first impressions at the start of the review period is called:

A. Recency error
B. Contrast error
C. Primacy error
D. Halo error

Q8.

Performance management and reward management share no linkage. This statement is:

A. True
B. False
C. True in public sector only
D. Partially true

Q9.

The _____ is designed for people who do not have the benefit of a pension after retirement.

A. New Pension Scheme (NPS)
B. Modified Pension Scheme
C. Employees' Pension Scheme
D. JAL Yojana

Q10.

Benefits provided to employees OVER AND ABOVE their salaries are called _____ benefits.

A. Non-fringe
B. Add-on
C. Fringe
D. Variable

Q11.

Which of the following best describes the role of Line Managers in performance management?

A. They design the appraisal forms
B. They own the performance management system
C. They set organizational strategy
D. They administer salary disbursements

Q12.

Which component is NOT typically part of an organization's strategic plan?

A. Mission statement
B. Long-term goals
C. Employee personal hobbies
D. Vision statement

WEEK 1 — PM PROCESS & REWARD BASICS

Q13.

Performance management is BEST described as:

A. An annual salary review process
B. A continuous process of managing and improving performance
C. A disciplinary mechanism
D. Another term for performance appraisal

Q14.
The key distinction between performance appraisal and performance management is that:

A. Appraisal is more strategic
B. Appraisal includes coaching and development
C. Appraisal focuses only on evaluation while PM is continuous
D. PM occurs only after appraisal

Q15.
Sales executives being evaluated only on urban targets, while the company's goal is rural expansion, illustrates:

A. Lack of financial incentives
B. Poor strategic alignment of goals
C. Inadequate supervision
D. Excessive employee participation

Q16.
Discussing expected outcomes, standards, timelines, and competencies at the start of the year represents which stage of PM?

A. Performance review
B. Performance execution
C. Performance planning
D. Performance renewal

Q17.
An employee tracking progress, coordinating with colleagues, and working toward agreed targets (before the formal review) is in the _____ phase.

A. Performance planning
B. Performance assessment
C. Performance execution
D. Performance renewal

Q18.
A manager providing constructive guidance to help an employee overcome obstacles BEFORE they affect outcomes demonstrates:

A. Punitive supervision
B. Performance ranking
C. Continuous feedback and coaching
D. Cost control

Q19.

Allowing employees freedom in completing assignments but requiring them to justify results during reviews reflects:

A. Centralized control
B. Empowerment without accountability
C. Empowerment with accountability
D. Informal supervision

Q20.

The correct sequence of performance management cycle steps is:

A. Review - Plan - Reward - Monitor
B. Plan - Act - Monitor - Review
C. Monitor - Reward - Review - Plan
D. Act - Evaluate - Promote - Plan

Q21.

A company that provides salary, recognition certificates, career development, and project leadership opportunities understands that reward management includes:

A. Only monetary benefits
B. Both financial and non-financial rewards
C. Only promotions
D. Rewards unrelated to performance

Q22.

An employee receives a cash bonus; another gets public recognition and a prestigious leadership program. Which statement is most accurate?

A. Both received financial rewards
B. The first received a non-financial reward
C. The first received a financial reward; the second received primarily non-financial rewards
D. Neither received a reward

Q23.

Which of the following is an example of a NON-FINANCIAL reward?

A. Annual bonus
B. Provident fund contribution
C. Public recognition at a company event
D. Salary increment

Q24.

Performance renewal in the PM cycle primarily involves:

A. Setting entirely new unrelated goals
B. Learning from the past cycle to improve future performance planning
C. Replacing the employee
D. Conducting a salary survey

WEEK 2 — STRATEGIC ALIGNMENT & SWOT

Q25.

Employee performance goals focused only on cost reduction while the company wants to be the top telemedicine provider illustrates a failure of:

A. Job evaluation
B. Strategic alignment of performance management
C. Employee monitoring
D. Workforce downsizing

Q26.

Strategic planning is BEST described as:

A. Focusing primarily on resource allocation
B. Determining long-term goals and allocating resources to achieve them
C. An annual budgeting exercise
D. Concerned mainly with operational efficiency

Q27.

A company with skilled designers and growing consumer demand for sustainable clothing should leverage which SWOT combination?

A. Weakness-Threat
B. Weakness-Opportunity
C. Strength-Opportunity
D. Strength-Threat

Q28.

Outdated machinery combined with technologically advanced new competitors entering the market represents which SWOT pairing?

A. Strength and Opportunity
B. Threat and Weakness
C. Opportunity and Weakness
D. Strength and Threat

Q29.

A vision statement reading 'We hope to do many good things for many people in the future' was rejected because it:

A. Was too specific
B. Lacked clarity and inspiration
C. Focused too much on customers
D. Was measurable

Q30.

Giving performance bonuses ONLY when projects are delivered successfully and on time demonstrates which strategic reward role?

A. Workforce reduction
B. Job enrichment
C. Reward-performance linkage
D. Encouraging absenteeism

Q31.

An automobile company focusing employee reviews on innovation because its strategy is electric vehicle leadership is an example of:

A. Employees being rewarded equally
B. Employee behaviour being directed toward strategic priorities
C. Avoiding formal evaluations
D. Unrelated performance criteria

Q32.

Which of the following is the MOST SMART version of a performance objective?

A. Improve customer satisfaction significantly
B. Improve customer satisfaction someday
C. Increase customer satisfaction scores from 80% to 90% within 12 months
D. Try to make customers happier

Q33.

A company's five-year strategy produced little impact because employee appraisals and rewards remained unchanged. What was the root cause?

A. The strategy was too long-term
B. Employees received excessive feedback
C. Performance management and reward systems were not aligned with the strategy
D. The vision statement was too short

Q34.

Priyanka suggested conducting a SWOT analysis before launching new products, rather than merely imitating competitors, because:

A. Competitors should never be studied
B. New products are unrelated to strategy
C. Strategic planning should avoid long-term thinking
D. SWOT analysis helps understand internal and external factors before strategic decisions

Q35.

In SWOT analysis, 'Opportunities' and 'Threats' are:

A. Internal factors
B. External factors
C. Financial factors only
D. HR-specific factors

Q36.

Which characteristic makes a performance objective 'Achievable' in the SMART framework?

A. It must be time-bound
B. It must be realistic given available resources and constraints
C. It must be quantifiable
D. It must align with market trends

WEEK 3 — PERFORMANCE MEASUREMENT APPROACHES

Q37.

An employee who knows product features perfectly but struggles to present them persuasively to customers lacks:

A. Declarative knowledge
B. Motivation
C. Procedural knowledge
D. Contextual performance

Q38.

Voluntarily helping new employees, sharing information, and assisting during emergencies (beyond assigned tasks) exemplifies:

A. Task performance
B. Technical competence
C. Results performance
D. Contextual performance

Q39.

Evaluating store managers solely on annual sales and profitability while ignoring HOW outcomes were achieved uses the _____ approach.

A. Trait approach
B. Behaviour approach
C. Results approach
D. Competency approach

Q40.

An objective like 'Try to improve customer service as much as possible' is problematic because it:

A. Is too challenging
B. Lacks specificity and measurability
C. Is not aligned with strategy
D. Focuses too much on customers

Q41.

Capabilities essential for performing a job at an acceptable minimum level are called:

A. Differentiating competencies
B. Leadership competencies
C. Threshold competencies
D. Strategic competencies

Q42.

Before evaluating employee performance in a department with rising complaints, management should FIRST:

A. Reduce employee incentives
B. Replace underperforming employees
C. Introduce stricter supervision
D. Define clear performance objectives and standards

Q43.

Rating an employee as outstanding in ALL categories because of one impressive achievement illustrates:

A. Recency error
B. Central tendency error
C. Halo error
D. Contrast error

Q44.

Evaluating whether project leaders encourage collaboration, communicate effectively, and resolve conflicts uses the _____ approach.

A. Results approach
B. Financial approach
C. Output approach
D. Behaviour approach

Q45.

Collecting feedback from a supervisor, colleagues, subordinates, and clients to evaluate leadership effectiveness is associated with which advantage?

A. Reduces the need for employee development
B. Eliminates all rating errors
C. Focuses only on objective results
D. Captures performance from multiple perspectives

Q46.

Communicating the purpose, process, and benefits of a new PMS through workshops before launching it is important because:

A. Communication reduces the need for performance reviews
B. Employees should design the system themselves
C. Effective communication builds understanding, trust, and acceptance
D. Communication is required only for legal compliance

Q47.

Declarative knowledge in performance management refers to:

A. Knowing how to do a task effectively
B. Knowing facts, concepts, and principles relevant to the job
C. The ability to motivate others
D. Contextual helping behaviour

Q48.

The 360-degree feedback method is named so because it gathers input from:

A. Three different managers
B. All stakeholders surrounding the employee
C. Exactly 360 employees
D. Six competency dimensions

WEEK 4 — APPRAISAL METHODS & ERRORS

Q49.

Employees not knowing what was expected of them after PMS implementation, with departments pursuing different priorities, indicates:

A. Employees received insufficient incentives
B. Excessive use of technology
C. Poor goal setting and lack of strategic clarity
D. Too many training programs

Q50.

Mandating that exactly 10% of employees must be rated outstanding, 70% average, and 20% below average uses the _____ method.

A. Critical Incident Method
B. BARS Method
C. Assessment Centre Method
D. Bell Curve Method

Q51.

Jointly deciding performance goals at year-start, reviewing progress together, and evaluating against agreed objectives describes:

A. Forced Ranking
B. Management by Objectives (MBO)
C. Graphic Rating Scale
D. Confidential Reporting

Q52.

Using SMART objectives at year-start but ignoring them during reviews—relying on personal impressions instead—illustrates:

A. Effective performance monitoring
B. Alignment between planning and review
C. Excessive employee empowerment
D. Disconnection between goal-setting and evaluation

Q53.

Shifting from confidential reports (unknown to employees) to a system where employees can view, discuss, and provide feedback on assessments represents:

A. Increased secrecy in appraisals
B. Elimination of performance evaluation
C. Shift toward transparent and participative appraisal
D. Complete replacement of supervisors

Q54.

Developing specific behavioural examples representing poor, average, and excellent performance for each dimension describes which method?

A. Assessment Centre

B. Forced Distribution
C. Behaviourally Anchored Rating Scales (BARS)
D. Essay Method

Q55.
Inviting candidates to participate in business simulations, group discussions, and role plays with trained assessors observing behaviour describes:

A. Bell Curve Method
B. Critical Incident Method
C. Graphic Rating Scale
D. Assessment Centre Method

Q56.
Rating almost every team member as 'Average' to avoid difficult conversations, despite evidence of varied performance, is an example of:

A. Halo Error
B. Leniency Error
C. Recency Error
D. Central Tendency Error

Q57.
The Critical Incident Method of appraisal involves:

A. Rating employees on a forced distribution curve
B. Recording specific examples of exceptionally good or poor behaviour
C. Comparing employees in pairs
D. Using computer simulations to assess competency

Q58.
A major criticism of the Bell Curve (Forced Distribution) Method is that it:

A. Requires too many raters
B. Focuses only on non-financial outcomes
C. May force artificial rankings that do not reflect actual performance distribution
D. Is too simple to administer

Q59.
MBO (Management by Objectives) was originally proposed by:

A. Frederick Herzberg
B. Peter Drucker
C. Douglas McGregor
D. Victor Vroom

Q60.
Which appraisal method is MOST suitable for identifying high-potential candidates for senior leadership roles?

A. Graphic Rating Scale
B. Confidential Report

C. Assessment Centre Method
D. Bell Curve Method

WEEK 5 — DEVELOPMENT, TEAMS & COACHING

Q61.
Discussing future career aspirations, skills to develop, and experiences needed for larger responsibilities during an annual review describes:

A. Job evaluation
B. Compensation benchmarking
C. Workforce planning
D. Personal Development Planning

Q62.
An employee receiving public CEO praise, newsletter features, and an opportunity to present best practices has primarily received:

A. Direct financial reward
B. Deferred compensation
C. Non-financial reward
D. Retirement benefit

Q63.
A manager meeting a new supervisor weekly to discuss real challenges, provide feedback, and give more challenging work over time is performing:

A. Job rotation
B. Coaching
C. Assessment centre evaluation
D. Performance ranking

Q64.
Employees from different departments brought together temporarily to complete a project and returning afterwards have formed a _____ team.

A. Work team
B. Service team
C. Self-managed team
D. Project team

Q65.
Some employees contributing less because they know they will receive the same bonus as everyone else is called:

A. Job enrichment
B. Social loafing
C. Strategic dialogue
D. Competency mapping

Q66.

Highlighting an employee's achievement publicly and giving her a high-visibility project most likely results in:

A. Reduced employee motivation
B. Greater dependence on financial incentives
C. Lower team cohesion
D. Increased intrinsic motivation and recognition

Q67.

When a hardworking team member receives the same bonus as a low-contributing colleague, she perceives the system as unfair because:

A. The team was too small
B. The project ended successfully
C. Rewards were not linked to individual contribution
D. Team rewards should always be equal

Q68.

A bonus split where 70% depends on team performance and 30% on individual contribution primarily achieves:

A. Complete elimination of competition
B. Discouragement of teamwork
C. Removal of performance evaluation
D. Balance between team collaboration and individual accountability

Q69.

A senior colleague who reviews a newcomer's work, explains mistakes, gives suggestions, and gradually assigns harder tasks is primarily acting as a:

A. Auditor
B. Recruiter
C. Coach
D. Compensation specialist

Q70.

A manager asking 'Where do you see yourself in 5 years?' and 'What capabilities do you want to develop?' is conducting a:

A. Corrective feedback session
B. Technical review meeting
C. Disciplinary interview
D. Strategic dialogue

Q71.

Which of the following BEST prevents social loafing in team reward systems?

A. Paying all team members equally
B. Including an individual contribution component in the reward
C. Eliminating bonuses altogether
D. Reducing team size to two members

Q72.

Personal Development Planning (PDP) primarily focuses on:

A. Immediate salary revision
B. Identifying disciplinary actions
C. Future growth, skill development, and career aspirations
D. Calculating retirement benefits

WEEK 6 — TOTAL REWARDS & FAIRNESS

Q73.

A company rewarding employees with salary, bonuses, flexible work, learning opportunities, AND recognition is following the _____ philosophy.

A. Performance-related pay
B. Piece-rate compensation
C. Job evaluation system
D. Total Reward approach

Q74.

An employee declining a higher-salary offer to stay because of flexible hours, career development, and a supportive culture is motivated by:

A. Variable pay
B. Procedural justice
C. Relational rewards
D. Job enlargement

Q75.

Redesigning rewards so employees who generate successful product ideas receive long-term incentives (to support an innovation strategy) exemplifies:

A. Administrative compensation
B. Seniority-based pay
C. Strategic Reward Management
D. Cost-cutting compensation

Q76.

Two employees performing similar work discovering unequal pay without justification raises concerns about which reward principle?

A. Transparency
B. Equity
C. Flexibility
D. Teamwork

Q77.

An employee satisfied with salary but frustrated by limited learning and career growth opportunities is lacking which pillar of the Hay Group engaged performance model?

A. Tangible rewards
B. Procedural justice

C. Future growth opportunity
D. Job evaluation

Q78.
Providing relocation assistance, housing support, and foreign-service allowance to an employee on international assignment represents:

A. Team reward management
B. Competency-based pay
C. Gain-sharing
D. International reward management

Q79.
Employees understanding exactly how bonuses are calculated, who decides rewards, and how to appeal unfair decisions reflects _____ in the reward system.

A. Centralization
B. Confidentiality
C. Transparency
D. Standardization

Q80.
Employees accepting a promotion decision even when not promoted, because the process applied clear documented criteria equally, illustrates:

A. Distributive justice
B. External equity
C. Procedural justice
D. Financial reward

Q81.
Providing modern tools, safe conditions, skill development, and access to needed information to maintain engagement reflects which Hay Group pillar?

A. Tangible rewards
B. Future growth
C. Work-life balance
D. Enabling environment

Q82.
The argument that 'fairness requires rewards to reflect contribution and performance' distinguishes equity from:

A. Justice
B. Equality
C. Transparency
D. Benchmarking

Q83.
Which of the following BEST describes distributive justice in reward management?

A. Fairness in the procedures used to make reward decisions

B. Fairness in the actual reward amounts relative to contribution
C. Equal pay for all employees regardless of performance
D. Transparency about bonus calculation methods

Q84.
Strategic Reward Management ensures that rewards are aligned with:

A. Only statutory compliance requirements
B. The organization's long-term business goals and people strategy
C. Competitors' pay structures
D. Individual employee preferences exclusively

WEEK 7 — INCENTIVE THEORIES & PAY PLANS

Q85.
Paying employees significantly above market rates and observing reduced turnover and increased productivity is explained by:

A. Human Capital Theory
B. Equity Theory
C. Efficiency Wage Theory
D. Reinforcement Theory

Q86.
Employees sharing savings from productivity-improvement ideas with management is characteristic of which plan?

A. ESOP Plan
B. Cafeteria Benefit Plan
C. Halsey Plan
D. Scanlon Plan

Q87.
Workers paid entirely by units produced with NO guaranteed minimum wage below a standard mirrors:

A. Rowan Plan
B. Halsey Plan
C. Gantt Task and Bonus Plan
D. Taylor's Differential Piece Rate System

Q88.
Granting stock options convertible to shares after a few years IF the employee remains with the company aims primarily at:

A. Reducing training costs
B. Providing a welfare benefit
C. Replacing fixed salaries
D. Creating employee ownership and long-term commitment

Q89.

A fixed salary PLUS additional payment dependent on achieving specific performance targets describes a _____ system.

A. Base pay system
B. Seniority pay system
C. Contingent pay system
D. Equal reward system

Q90.
A retirement benefit accumulated through mandatory monthly contributions by both employee and employer is the:

A. ESOP
B. Performance Bonus
C. Retention Allowance
D. Provident Fund

Q91.
Project managers receiving incentives ONLY when predefined client satisfaction, profitability, AND completion targets are met exemplifies:

A. Team-based compensation
B. Fixed compensation
C. Performance-related pay
D. Seniority-based rewards

Q92.
An employee earning higher compensation because of specialized certifications that enhance productivity is explained by:

A. Equity Theory
B. Expectancy Theory
C. Human Capital Theory
D. Reinforcement Theory

Q93.
A benefits program where employees choose from options such as health insurance, childcare, education, or travel within a fixed budget is called:

A. Fixed Benefits Plan
B. Recognition Scheme
C. Gain-Sharing Plan
D. Cafeteria (Flex-Fund) Plan

Q94.
Introducing yoga sessions, mental health counselling, fitness memberships, and health check-ups in response to employee burnout is a _____ initiative.

A. Team pay scheme
B. Contingent pay plan
C. Wellness program
D. Recognition scheme

Q95.

The Halsey Incentive Plan differs from Taylor's Piece Rate in that it:

A. Pays entirely on output with no minimum guarantee
B. Shares time saved between the worker and employer
C. Links pay to educational qualifications
D. Applies only to managerial roles

Q96.

ESOPs (Employee Stock Ownership Plans) primarily align employee interests with:

A. Trade unions
B. Government regulators
C. Long-term company shareholder value
D. Competitor benchmarks

WEEK 8 — JOB EVALUATION & PAY STRUCTURES

Q97.

Two jobs with different responsibilities placed in the same pay grade only because of similar titles resulted in dissatisfaction due to failure to:

A. Conduct market rate analysis
B. Introduce broad-banding
C. Evaluate the relative worth of jobs
D. Implement performance-related pay

Q98.

CNC operators commanding significantly higher wages because competitors aggressively recruit from the same labour pool is explained by:

A. Agency Theory
B. Equity Theory
C. Expectancy Theory
D. Classical Economic Theory

Q99.

Identifying compensable factors (knowledge, problem-solving, responsibility, working conditions), assigning weights, and scoring jobs uses the _____ method.

A. Job Ranking Method
B. Paired Comparison Method
C. Job Classification Method
D. Point-Factor Method

Q100.

Linking executive compensation to long-term stock performance to prevent short-term focus is supported by:

A. Human Capital Theory
B. Labour Theory of Value
C. Agency Theory

D. Reinforcement Theory

Q101.
In Point-Factor job evaluation, defining compensable factors before assigning scores is critical because it:

A. Determines market salary levels
B. Establishes the factors against which jobs will be assessed
C. Assigns employees to grades
D. Eliminates external wage comparisons

Q102.
Evaluating a new unique role by comparing it with existing already-graded internal roles uses _____ technique.

A. Market Pricing
B. External Benchmarking
C. Competency Mapping
D. Internal Benchmarking

Q103.
Replacing 18 pay grades with 5 wide salary bands to give managers greater flexibility is called a _____.

A. Narrow-Graded Structure
B. Job Family Structure
C. Spot Salary Structure
D. Broad-Banded Structure

Q104.
Discovering that internal software architects earn 15% below industry median and recommending salary adjustments is called:

A. Internal Equity Analysis
B. Job Ranking
C. Market Rate Analysis
D. Job Classification

Q105.
Placing two jobs with different titles in the same grade because they require similar responsibility and expertise uses:

A. Role-to-Role Matching
B. Forced Ranking
C. Job Matching
D. Role-to-Grade Analytical Matching

Q106.
Preferring detailed duty and responsibility descriptions over job titles when matching compensation survey data is better because:

A. Job titles always reflect pay grades

B. Market surveys require legal compliance
C. Job descriptions provide a more accurate basis for comparison than titles alone
D. Equal pay legislation prohibits title comparisons

Q107.
The Job Ranking method of job evaluation is BEST described as:

A. Assigning point scores to compensable factors
B. Ranking jobs from highest to lowest worth in a non-analytical way
C. Grouping jobs into predetermined grades
D. Comparing jobs against market benchmarks

Q108.
A pay structure with many narrow grades (e.g., 20+ grades) typically offers:

A. High flexibility for lateral moves
B. Clear promotion steps and defined career progression
C. Minimal administrative burden
D. Broad ranges that accommodate diverse roles

WEEK 9 — EXECUTIVE PAY & INCENTIVE DESIGN

Q109.
Linking CEO compensation to long-term stock performance to prevent excessive short-term focus is most strongly supported by:

A. Human Capital Theory
B. Equity Theory
C. Agency Theory
D. Reinforcement Theory

Q110.
A very large compensation gap between CEO and other VPs, intended to motivate ambitious leaders to perform better, is explained by:

A. Efficiency Wage Theory
B. Equity Theory
C. Human Capital Theory
D. Tournament Theory

Q111.
Of the following pay components, which MOST directly aligns a CFO's interests with shareholders?

A. Basic Salary
B. Pension Benefits
C. Allowances
D. Stock Options

Q112.
A CEO approving risky short-term investments to maximize a bonus tied entirely to short-term profits is an example of:

A. Wage Compression
B. Procedural Justice
C. Broad-Banding
D. Moral Hazard

Q113.
A sales representative receiving NO fixed salary and being paid entirely as a percentage of sales uses a _____ arrangement.

A. Salary Plus Bonus
B. Salary Plus Commission
C. Profit Sharing Plan
D. Commission-Only Plan

Q114.
Rewarding customer service staff only on calls handled per day, leading to rushed interactions and increased complaints, illustrates that:

A. Individual incentives always improve service quality
B. Reward systems can unintentionally encourage undesirable behaviours
C. Salary-based rewards eliminate performance problems
D. Customer service staff should not receive incentives

Q115.
According to Tampoe's framework, which characteristic BEST reflects a key motivator for knowledge workers?

A. Piece-rate earnings
B. Physical effort rewards
C. Autonomy and personal growth
D. Attendance-based incentives

Q116.
Machine operators in a Payment-by-Results (PBR) scheme focusing on quantity and causing quality defects illustrates a _____ of PBR.

A. Reduced productivity
B. Excessive job security
C. Quality deterioration due to output focus
D. Lack of employee motivation

Q117.
Employees perceiving their output-based reward as unfair due to machine breakdowns (beyond their control) relates to:

A. Employees preferring fixed salaries in all situations
B. Production targets being exceeded
C. PBR increasing transparency
D. Rewards being influenced by factors beyond employee control

Q118.

The BEST reward design for relationship managers who need to increase sales AND maintain long-term client relationships is:

A. Commission based solely on sales volume
B. Fixed salary only
C. Salary plus bonus linked to both sales and customer satisfaction measures
D. Seniority-based increments only

Q119.

Agency Theory primarily addresses the conflict of interest between:

A. Employees and trade unions
B. Principals (shareholders) and agents (executives)
C. HR department and line managers
D. Government regulators and corporations

Q120.

The concept of 'Moral Hazard' in executive reward management occurs when:

A. An executive refuses a performance bonus
B. An executive takes excessive risks because the downside is borne by others
C. Pay transparency is introduced in an organization
D. Stock options are granted to all employees

WEEK 10 — GOVERNMENT PAY & PENSION

Q121.

The minimum basic pay recommended under the 7th Central Pay Commission of India was:

A. Rs. 15,000
B. Rs. 21,000
C. Rs. 25,000
D. Rs. 18,000

Q122.

Multiplying an employee's existing pay by a uniform factor to place it in the new 7th CPC pay matrix is called the:

A. Dearness Allowance
B. Risk and Hardship Index
C. Fitment Factor
D. Pension Multiplier

Q123.

A pension plan where the payout is predetermined based on years of service and final salary is called a _____ scheme.

A. Defined Contribution Scheme
B. Hybrid Pension Scheme
C. Market-Linked Pension Scheme
D. Defined Benefit Scheme

Q124.

The government's employer contribution to NPS accounts was increased TO 14% FROM:

A. 8%
B. 10%
C. 12%
D. 15%

Q125.

The approved annual increment rate under the 7th Pay Commission is:

A. 2%
B. 2.5%
C. 4%
D. 3%

Q126.

Under the Atal Pension Yojana (APY), the MAXIMUM assured monthly pension available is:

A. Rs. 2,000
B. Rs. 3,000
C. Rs. 4,000
D. Rs. 5,000

Q127.

Special allowances for employees in dangerous or difficult working conditions (under 7th CPC) are governed by the:

A. Pay Rationalization Matrix
B. Compensation Adjustment Grid
C. Occupational Exposure Index
D. Risk and Hardship Matrix

Q128.

The regulatory authority that supervises pension fund managers and NPS compliance is:

A. RBI
B. SEBI
C. IRDAI
D. PFRDA

Q129.

An NPS account that allows flexible deposits and withdrawals for short-term financial needs is the:

A. EPF Account
B. PRAN Plus Account
C. NPS Tier II Account
D. CGEGIS Account

Q130.

The CORRECT distinction between defined benefit and defined contribution pension plans is:

A. Defined contribution plans guarantee pension; defined benefit depends on market performance

B. Both plans provide identical benefits

C. Defined benefit plans guarantee pension; defined contribution depends on contributions and investment returns

D. Only government employees can join defined contribution plans

Q131.

NPS Tier I account is primarily characterized by:

A. Free withdrawal at any time

B. Restrictions on withdrawal until retirement

C. Investment only in government bonds

D. No employer contribution

Q132.

Dearness Allowance (DA) in government pay is primarily linked to:

A. Employee seniority

B. Inflation and changes in the Consumer Price Index

C. Annual performance ratings

D. Geographic posting location

WEEK 11 — REWARD SYSTEM DESIGN

Q133.

Redesigning rewards to include health benefits, career development, flexible work, and recognition (beyond salary) reflects the _____ philosophy.

A. Market Pricing Approach

B. Job Evaluation Approach

C. Broad-Banding Approach

D. Total Rewards Approach

Q134.

The argument that a reward system should NOT be left unchanged for 10 years is valid because:

A. Reward systems are legally required to change annually

B. External consultants require periodic projects

C. Reward systems must evolve with changing business strategies and workforce needs

D. Reward systems should only change when employees demand it

Q135.

An HR Director spending time defining what the organization wants the reward system to ACHIEVE before discussing pay structures is focusing on:

A. Pilot Testing

B. Market Benchmarking

C. Job Evaluation

D. Setting Reward Objectives

Q136.

Comparing current reward practices with leading organizations to identify gaps describes:

A. Forced Distribution
B. Job Ranking
C. Evidence-Based Reward Development
D. Broad-Banding

Q137.
Conducting a small-scale trial of a redesigned reward system in one department before full rollout is called:

A. Workforce Downsizing
B. Job Rotation
C. Pay Compression
D. Pilot Testing

Q138.
When an employee's salary is significantly ABOVE the maximum of her pay grade and future increases are frozen, this is called:

A. Green-Circling
B. Broad-Banding
C. Red-Circling
D. Market Pricing

Q139.
When a market supplement given during a talent shortage is no longer justified (because supply has normalized), the organization should:

A. Continue it permanently
B. Increase it annually
C. Review and potentially remove it if no longer justified
D. Convert it into pension benefits

Q140.
Providing different reward packages to sales staff, software developers, and senior managers based on their distinct roles reflects:

A. Internal Benchmarking
B. Equal Pay
C. Pay Compression
D. Segmentation

Q141.
An employee earning Rs. 72,000/month when the grade midpoint is Rs. 60,000 has a compa-ratio above 100%, indicating:

A. The employee is paid below policy rate
B. The employee is paid exactly at the midpoint
C. The employee is paid above the policy midpoint
D. The employee has reached retirement eligibility

Q142.

Deliberately paying 10% above industry average to attract and retain top talent describes the organization's:

A. Job Evaluation
B. Compa-Ratio
C. Red-Circling
D. Pay Posture

Q143.

Green-Circling in pay management refers to a situation where:

A. An employee's pay is above the maximum of the grade
B. An employee's pay is below the minimum of the grade
C. An employee receives a market supplement
D. All employees receive the same percentage increment

Q144.

Pay Compression occurs when:

A. Senior employees earn significantly more than juniors
B. Pay differences between job levels or seniority are very small
C. The pay range for a grade is very wide
D. Annual increments are frozen for all employees

WEEK 12 — ETHICS IN PM & REWARDS

Q145.

An HR Director pressured to select a poorly performing family member for a position faces the ethical issue of:

A. Job Evaluation Error
B. Market Rate Analysis
C. Performance Benchmarking
D. Nepotism and Conflict of Interest

Q146.

A dean introducing research grants, committee leadership, recognition, and academic decision participation (due to budget constraints) aims to:

A. Reduce teaching workload entirely
B. Replace performance appraisal systems
C. Eliminate compensation concerns permanently
D. Increase engagement through non-financial rewards

Q147.

According to Kantian ethics, which employee is viewed more favorably: one who met targets through misleading customers, or one who missed targets but acted ethically?

A. The one who achieved targets regardless of methods
B. Both equally
C. Neither employee
D. The one whose actions were guided by ethical intentions and duty

Q148.

Rating an employee highly across all dimensions because she is confident and articulate (with limited evidence) is ethically problematic because it:

A. Is too objective
B. Uses quantitative indicators
C. Relies on subjective judgments that may introduce bias
D. Focuses on results

Q149.

The difficulty in fairly comparing nurses who comfort patients versus those completing measurable tasks arises because, according to Velasquez:

A. Performance appraisal systems are unnecessary
B. Employees should not be evaluated
C. Only quantitative outcomes matter
D. Human performance is difficult to measure objectively in all dimensions

Q150.

Evaluating sales staff with objective figures but research scientists with highly subjective judgments, causing cross-department comparisons, creates the concern of:

A. Higher profitability
B. Increased innovation
C. Reduced turnover
D. Unfair comparisons across employees

Q151.

An employee receiving a poor appraisal and being refused an explanation or any appeal mechanism is missing the ethical safeguard of:

A. Job Evaluation
B. Market Benchmarking
C. Broad-Banding
D. Grievance and Review Mechanism

Q152.

Forming a committee of managers, employees, and union representatives to discuss evaluation criteria before system implementation reflects:

A. Centralized Authority
B. Confidential Appraisal
C. Stakeholder Involvement
D. Forced Distribution

Q153.

Which metric would be LEAST appropriate as a PRIMARY faculty performance indicator in a university?

A. Research publications
B. Student feedback
C. Teaching effectiveness measures

D. Number of personal complaints made by colleagues

Q154.

Employees ending calls quickly (reducing satisfaction and relationships) because only call volume is measured highlights:

A. Quantitative metrics are always superior
B. Customer satisfaction is irrelevant
C. Employees should not be rewarded
D. Sole reliance on quantitative measures can ignore important qualitative outcomes

Q155.

Kantian ethics in reward management emphasizes:

A. Consequentialist outcomes only
B. Acting out of duty and moral principle, regardless of outcome
C. Maximizing shareholder value
D. Following statutory minimums exactly

Q156.

Which of the following BEST prevents ethical bias in performance appraisals?

A. Having a single assessor for all employees
B. Keeping all appraisal results confidential
C. Using structured, criteria-based assessment with transparency and appeal mechanisms
D. Evaluating employees only on financial metrics

ANSWER KEY

Use this key to verify your answers after attempting all questions.

Week 0 — Introduction to PM & Rewards

Q1: B	Q2: B	Q3: B	Q4: B
Q5: A	Q6: B	Q7: C	Q8: B
Q9: A	Q10: C	Q11: B	Q12: C

Week 1 — PM Process & Reward Basics

Q13: B	Q14: C	Q15: B	Q16: C
Q17: C	Q18: C	Q19: C	Q20: B
Q21: B	Q22: C	Q23: C	Q24: B

Week 2 — Strategic Alignment & SWOT

Q25: B	Q26: B	Q27: C	Q28: B
Q29: B	Q30: C	Q31: B	Q32: C
Q33: C	Q34: D	Q35: B	Q36: B

Week 3 — Performance Measurement Approaches

Q37: C	Q38: D	Q39: C	Q40: B
Q41: C	Q42: D	Q43: C	Q44: D
Q45: D	Q46: C	Q47: B	Q48: B

Week 4 — Appraisal Methods & Errors

Q49: C	Q50: D	Q51: B	Q52: D
Q53: C	Q54: C	Q55: D	Q56: D
Q57: B	Q58: C	Q59: B	Q60: C

Week 5 — Development, Teams & Coaching

Q61: D	Q62: C	Q63: B	Q64: D
Q65: B	Q66: D	Q67: C	Q68: D
Q69: C	Q70: D	Q71: B	Q72: C

Week 6 — Total Rewards & Fairness

Q73: D	Q74: C	Q75: C	Q76: B
Q77: C	Q78: D	Q79: C	Q80: C
Q81: D	Q82: B	Q83: B	Q84: B

Week 7 — Incentive Theories & Pay Plans

Q85: C	Q86: D	Q87: D	Q88: D
Q89: C	Q90: D	Q91: C	Q92: C
Q93: D	Q94: C	Q95: B	Q96: C

Week 8 — Job Evaluation & Pay Structures

Q97: C	Q98: D	Q99: D	Q100: C
Q101: B	Q102: D	Q103: D	Q104: C
Q105: D	Q106: C	Q107: B	Q108: B

Week 9 — Executive Pay & Incentive Design

Q109: C	Q110: D	Q111: D	Q112: D
Q113: D	Q114: B	Q115: C	Q116: C
Q117: D	Q118: C	Q119: B	Q120: B

Week 10 — Government Pay & Pension

Q121: D	Q122: C	Q123: D	Q124: B
Q125: D	Q126: D	Q127: D	Q128: D
Q129: C	Q130: C	Q131: B	Q132: B

Week 11 — Reward System Design

Q133: D	Q134: C	Q135: D	Q136: C
Q137: D	Q138: C	Q139: C	Q140: D
Q141: C	Q142: D	Q143: B	Q144: B

Week 12 — Ethics in PM & Rewards

Q145: D	Q146: D	Q147: D	Q148: C
Q149: D	Q150: D	Q151: D	Q152: C
Q153: D	Q154: D	Q155: B	Q156: C

All 150 questions are original practice items based on the NPTEL Performance and Reward Management course syllabus.